

Member ID: _____

Time: _____

Rank: _____



ADVANCED COLLEGE ACCOUNTING (115)

NATIONAL 2025

Multiple Choice, Matching, & Short Answer Section:

Multiple Choice (15 @ 2 points each) _____ (30 points)

Short Answer: (33 @ 2 points each) _____ (66 points)

Production Portion:

Job 1: Statement of Cash Flows (39 @ 1 point each) _____ (39 points)

Job 2: Merchandise Inventory Entries (39 @ 1 point each) _____ (39 points)

Job 3: Partnership Income Division (40 @ 1 point each) _____ (40 points)

TOTAL POINTS _____ **(214 points)**

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

The test is divided into two parts, and you **MUST** complete both parts. You will have 90 minutes to complete your work.

PART ONE Instructions: Concept Knowledge

1. Open Google Chrome and navigate to compete.bpa.org.
2. Click on the Secondary Division Competitions button.
3. Enter your BPA Member ID (8-digits) and Password to access your test questions.
4. Answer all questions and submit your test.
5. Move on to Part Two.

PART TWO: Application Knowledge

Complete the questions in the rest of this test booklet by filling in the PDF.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

MULTIPLE CHOICE

Identify the letter of the choice that best completes the statement or answers the question.

1. The percentage used as a multiplier for double declining balance for eight-year property is _____.
 - A. 12.5%
 - B. 25%
 - C. 20%
 - D. 40%
2. If a company uses LIFO for its income taxes, what flow does the company need to use for financial statements?
 - A. Average Cost
 - B. FIFO
 - C. LIFO
 - D. Any of the choices are acceptable
3. The fees received in advance by a lawyer would be classified as _____.
 - A. asset for the cash, revenue for the fees
 - B. asset for the receivable, revenue for the fees
 - C. asset for the cash, expense for the fees
 - D. asset for the cash, deferred revenue for the fees
4. The cost of equipment – accumulated depreciation = _____.
 - A. Net Realizable Value
 - B. Historical cost
 - C. Book value
 - D. Cash value
5. When equipment is sold for proceeds exceeding the carrying value you will have a _____.
 - A. gain on the sale
 - B. wash sale
 - C. loss on the sale
 - D. break even situation
6. Maddox Corporation understated its end of the year inventory with a miscount, which statement is *true*?
 - A. Assets are understated, Net Income is overstated
 - B. Assets are overstated, Net Income is overstated
 - C. Assets are overstated, Net Income is understated
 - D. Assets are understated, Net Income is understated

7. If a company omits recording the adjusting entry interest on a note payable, which is *true*?
 - A. Equity is overstated, net income is understated
 - B. Liabilities are understated, net income is overstated
 - C. Expenses are understated, equity is understated
 - D. Net income is overstated, liabilities are overstated
8. The amortization of a premium on a bond payable causes the interest expense to _____.
 - A. increase
 - B. no effect on the interest expense
 - C. decrease
 - D. none of these answers are correct
9. The sale of a fixed asset at a gain will affect the statement of cash flows in what way? (Assume there was cash exchanged in the transaction as well and indirect method is used.)
 - A. Operating section will have a plus, Investment section will have a minus
 - B. Operating section will have a minus, Investment section will have a minus
 - C. Operating section will have a plus, Investment section will have a plus
 - D. Operating section will have a minus, Investment section will have a plus
10. An example of a contingent liability would be _____.
 - A. a litigation lawsuit
 - B. a note payable with collateral
 - C. a product warranty
 - D. both litigation lawsuit and product warranty
11. If a corporation has 40,000 shares of authorized and outstanding stock with 2,000 shares being held as treasury stock, how many shares would be distributed if a 3% stock dividend is declared?
 - A. 1,200 shares
 - B. 60 shares
 - C. 1,140 shares
 - D. 12,000 shares
12. Before the stock split, Ace Corporation had 10,000 outstanding shares of common stock; subsequent to the stock split, Ace has 50,000 shares of common outstanding. If the par value of the stock is \$20, what will the par value be after the split?
 - A. \$20, the par value does not change
 - B. \$100 par value
 - C. \$5 par value
 - D. \$4 par value

13. Badger Corporation uses the sales method to estimate its Allowance for Doubtful Accounts (AfDA). If the AfDA account has a debit balance of \$250, net sales are \$700,000, and Badger estimates $\frac{1}{2}$ of 1 percent of net sales will be uncollectible, what will the balance be in the AfDA account after adjustment?
- A. \$3,750 debit
 - B. \$3,500 credit
 - C. \$3,250 credit
 - D. \$3,500 debit
14. When using the direct method of reporting cash flows, what amount do you start with to begin the reconciliation?
- A. Net Income
 - B. Cash collected from customers
 - C. Non-cash adjustments
 - D. Any of the choices are appropriate
15. Which financial statement will show the specific detail on changes in the equity account of a corporation?
- A. Statement of Cash Flows
 - B. Balance Sheet
 - C. Statement of Retained Earnings
 - D. Statement of Changes in Financial Position

SHORT ANSWER:**Part 1: Adjusting Journal Entries - 20 @ 2 points each (40 points)**

On the journal page below, journalize the following end of the year adjustments for the last day of June 2024.

Round all calculations to the nearest dollar.

- a. Depreciation of Equipment: business was started on October 31, 2023, and equipment with historical cost of \$112,000 was put in service. It is estimated that the equipment will have a salvage value of \$4,000 at the end of its useful life. Useful life is estimated at 5 years and the double declining balance method is used to depreciate all equipment.
- b. The Allowance for Bad Debt account ledger shows a debit balance of \$523. The analysis of A/R method is completed, and it is estimated that \$3,122 of write-offs will occur in the next year.
- c. A periodic inventory system is used. Related account balances include; Purchases 4,566,887; Purchase Discounts 32,994; Freight In 21,884; Beginning inventory 84,933; Ending inventory per 6/30/24 physical count 73,224. Complete the adjusting entry to find COGS.

[illegible]

Part 2: Bond Issue - 5 @ 2 points each (10 points)

A company has issued \$2,000,000 in 8%, 10-year bonds that pay interest semi-annually while the market rate is at 7%. Answer the following questions regarding this bond issue:

- Did the bonds sell at a discount or premium? _____
- What is the face value of the bonds? _____
- What is the effective interest rate for the bonds? _____
- How much will the semi-annual interest payment be? _____
- Use the Present Value tables given below to calculate the price of the bond on sale date.

PV of \$1					
PERIODS	RATES				
		3.5%	4%	7%	8%
	5	0.84197	0.82193	0.71299	0.68058
	10	0.70892	0.67556	0.50835	0.46319
	15	0.59689	0.55526	0.36245	0.31524
	20	0.50257	0.45639	0.25842	0.21455

PV of an ordinary annuity					
PERIODS	RATES				
		3.5%	4%	7%	8%
	5	4.51505	4.45182	4.10020	3.99271
	10	8.31661	8.11090	7.02358	6.71008
	15	11.51741	11.11839	9.10791	8.55948
	20	14.21240	13.59033	10.59401	9.81815

Part 3: Investment Adjusting Entries - 8 @ 2 points each (16 points)

RJC Corporation has the following investments, details below:

Trading Securities (TS)-

<u>Company</u>	<u>Cost</u>	<u>Value 12/31/23</u>	<u>Value 12/31/24</u>
A Company	\$30,000	\$22,000	\$31,000
B Company	\$24,000	\$26,000	\$28,000

Available for Sale Securities (AFS)-

<u>Company</u>	<u>Cost</u>	<u>Value 12/31/23</u>	<u>Value 12/31/24</u>
X Company	\$300,000	\$322,000	\$310,000
Z Company	\$56,000	\$60,000	\$58,000

Answer the questions below concerning the adjusting entries for December 2024:

- What is the adjusting entry amount to the Trading Securities account on December 2024 and is it a Debit or Credit adjustment:
Amount _____ Debit or Credit _____
- What is the balance in the Fair Value Adjustment for Trading Securities account on December 2024 and is it a Debit or Credit adjustment:
Amount _____ Debit or Credit _____
- What is the adjusting entry amount to the Available-for-Sale Securities account on December 2024 and is it a Debit or Credit adjustment:
Amount _____ Debit or Credit _____

Using a perpetual inventory system, complete the journal entries below.

- (a) March 1, 2024: Sold merchandise on account, for \$13,300, terms n/30. The cost of the merchandise sold was \$7,400.
- (b) March 8, 2024: Sold merchandise to customers who used MasterCard and VISA, for \$10,650. The cost of the merchandise sold was \$6,300.
- (c) March 16, 2024: Sold merchandise to customers (on account) who used American Express, \$3,260. The cost of the merchandise sold was \$2,200.
- (d) March 17, 2024: Paid an invoice from US Bank for \$322, representing a service fee for processing MasterCard and VISA sales.
- (e) March 22, 2024; Received \$3,180 from American Express Company after a \$80 collection fee had been deducted.

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Job #3: Division of Partnership Income - 40 @ 1 point each (40 points)
Complete the following tables for the division of net income for partnership.

Scenario 1:

Laurel and Hardy had capital balances of \$142,600 and \$159,800, respectively, at the beginning of the current fiscal year. The partnership agreement provides for salary allowances of \$22,750 and \$33,600, respectively, an allowance of interest at 9.5% on the capital balances at the beginning of the year, and the remaining net income divided at 2:1 ratio. Partnership income for the current year was \$120,001. Using the charts below, show the step-by-step division of net income for each scenario.

	Laurel	Hardy	Total
Salary Allowance			
Interest Allowance			
Remaining Income			
Net Income			

Scenario 2:

Assuming the following changes for Laurel and Hardy, complete the division of income chart below. Salary allowances are 78,400 and 89,600; the allowance of interest on beginning capital is 8%; and the remaining income is divided 1:2 respectively. Beginning capital balances are the same as Scenario 1, but the Partnership income for this scenario is \$180,000.

	Laurel	Hardy	Total
Salary Allowance			
Interest Allowance			
Remaining Income			
Net Income			

Scenario 3:

Assuming the following changes: the partnership has 3 members Moe, Larry, and Curley, complete the division of income chart below using the following information. Beginning capital balances are \$25,000, \$30,000, and \$45,000 respectively. Salary allowances are \$24,000, \$36,000, and \$40,000 respectively; the allowance of interest on beginning capital is 6%; and the remaining income is divided by each partner’s capital percentage of total partnership capital (e.g. Partner capital/Total Partnership capital). Partnership income to be distributed for this scenario is \$624,000.

	Moe	Larry	Curley	Total
Salary Allowance				
Interest Allowance				
Remaining Income				
Net Income				